

WHY INDIA SHOULD WORRY

India's vulnerability arises from being simultaneously digitally advanced and structurally exposed

- Massive digital payments ecosystem
- Interlinked banking architecture
- Legacy software in many institutions
- Heavy third-party vendor dependence
- Rapid fintech expansion
- Critical infrastructure increasingly digitised

₹251.9
LAKH CROORE
Total deposits in Indian banks
(as on Feb. 28)

₹73.7
LAKH CROORE
Assets under management of the MF industry
(as on Mar. 31)

500
MILLION
Active UPI users; 65 million merchants on the network

22.6
BILLION
Monthly UPI transactions processed
(in March)

What are the main concerns?

Financial contagion
An exploit in a critical node could cascade across
- Banks
- Payment systems
- Stock exchanges
- Clearing systems

Proliferation of sophisticated attacks
- Criminal syndicates could gain access to advanced tools
- Other nations could acquire asymmetric cyber capabilities
- The cost of cyber warfare would decline

Speed asymmetry
- AI may discover vulnerabilities faster than institutions can patch them
- This shifts the balance in favour of offence over defence

Union finance minister Nirmala Sitharaman held a high-level meeting with heads of commercial banks and representatives from the Reserve Bank of India and the Indian Computer Emergency Response Team (CERT-In). The finance ministry stressed the need for a robust, real-time threat intelligence-sharing mechanism. Present in the meeting was also Ashwini Vaishnaw, Union minister for electronics and information technology (MeitY), who too urged Indian companies working on AI to build a software model that could counter Mythos's threat. At a recent media conference, Sitharaman said, "The cyber challenge we have because of Mythos is a big one. MeitY is seized of

> **"Earlier AI tools were not able to accomplish real-world tasks with great accuracy. Now, they have more agency, can autonomously decide, access the real world and get things done"**
>
> **—SRIKANTH VELAMAKANNI**
> *Chairman, Nasscom; Group CEO, Fractal Analytics*